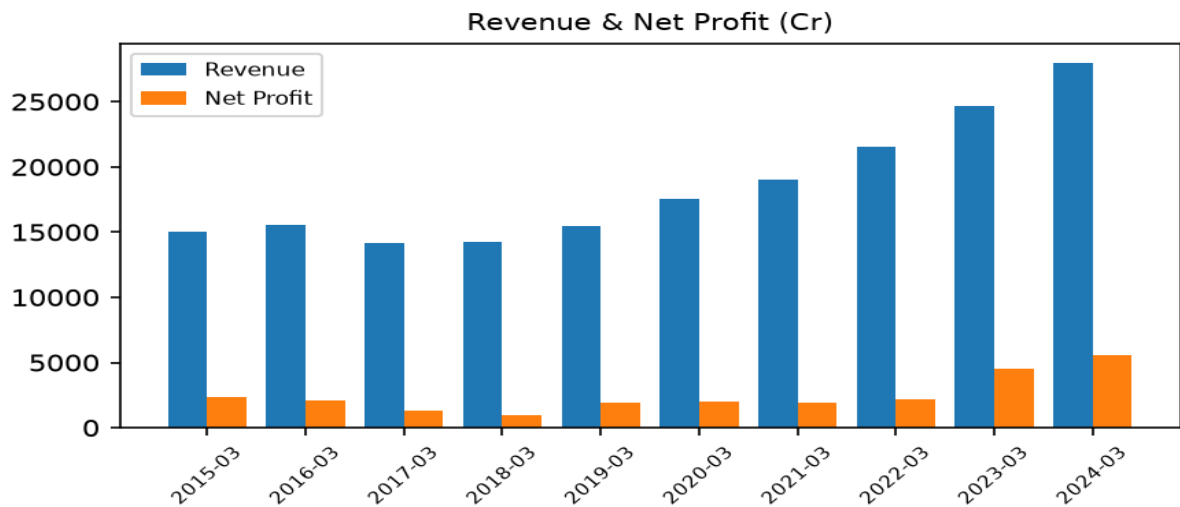


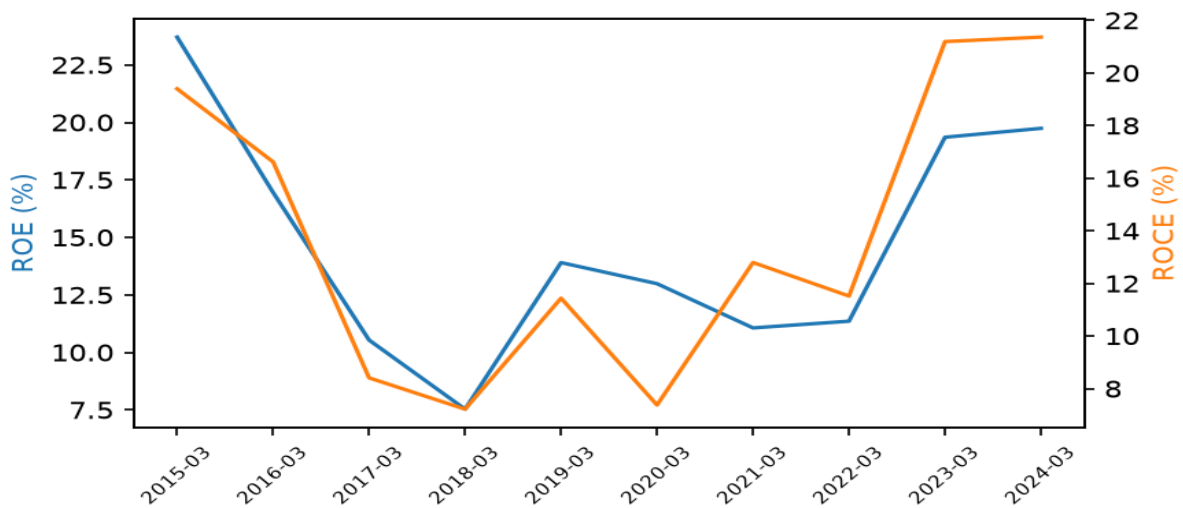
# Dr Reddys Laboratories Ltd (DRREDDY)

|                     |                                  |                                     |
|---------------------|----------------------------------|-------------------------------------|
| <b>ROE</b><br>19.7% | <b>ROCE</b><br>21.4%             | <b>Net Profit Margin</b><br>19.9%   |
| <b>D/E</b><br>0.1   | <b>Revenue CAGR 5yr</b><br>12.6% | <b>Free Cash Flow (Cr)</b><br>509.0 |

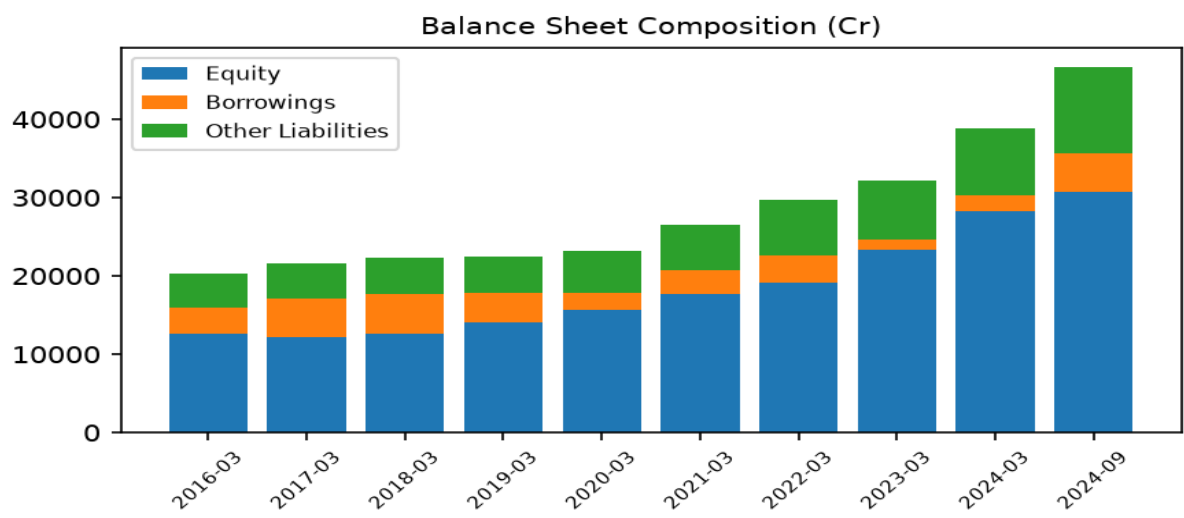
## Revenue & Net Profit (10yr)



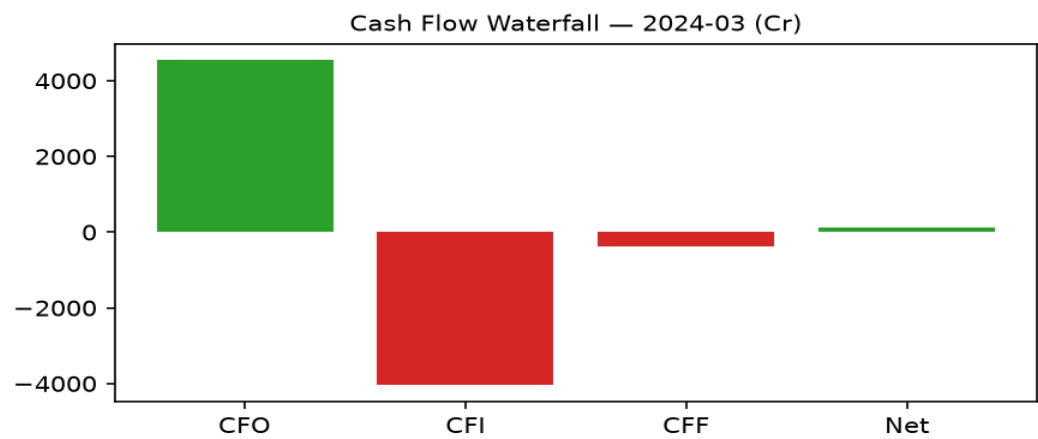
## ROE & ROCE (10yr)



## Balance Sheet Composition



## Cash Flow (Latest Year)



### Pros

- ✓ Strong free cash flow generation over 5 years signals healthy business fundamentals
- ✓ Operating profit margin above 25% indicates strong pricing power and cost discipline
- ✓ Net profit compounding at above 20% over 5 years creates significant shareholder value
- ✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing
- ✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- ✓ Return on equity improving for 3 consecutive years shows strengthening business quality
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits

### Cons

✗ Debt-to-equity of 0.07 is a general leverage level worth monitoring alongside sector peers.

Capital Allocation: Reinvestor